

Cambridge Assessment
International Education

Cambridge International AS & A Level

ECONOMICS

Paper 1 AS Level Multiple Choice
PREDICTED PAPER 2 (HARD)

9708/11

May/June 2025
1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are thirty questions on this paper. Answer all questions.
- For each question there are four possible answers A, B, C and D. Choose the one you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do not use correction fluid.
- Do not write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has 12 pages. Any blank pages are indicated.

- 1** An economist can work at a university earning \$80 per hour or as a private consultant earning \$100 per hour. She decides to spend two hours teaching a free community class which she enjoys.
- What is the opportunity cost of teaching the community class?
- A** \$0 **B** \$160 **C** \$200 **D** \$360
- 2** An economy is currently operating on its production possibility curve. Skilled workers then emigrate in large numbers to other countries.
- What is most likely to happen to the country's production possibility curve and its current output?
- A** the PPC shifts outwards and output of both goods rises
B the PPC shifts inwards and output of one or both goods falls
C the PPC is unchanged but the economy operates inside it
D the PPC rotates and output remains unchanged
- 3** A family bakery expands. It hires three new bakers, buys new ovens and the owner takes on additional risk by borrowing to finance the expansion.
- Which factors of production are being increased?
- A** labour only
B capital and labour only
C labour, capital and enterprise only
D land, labour, capital and enterprise
- 4** Which statement is a positive economic statement?
- A** The government should increase spending on healthcare.
B A rise in income tax rates will reduce consumer spending.
C The distribution of income in this country is too unequal.
D Pollution ought to be reduced by at least 50%.
- 5** A country's production possibility curve is drawn with consumer goods on one axis and capital goods on the other. The country decides to shift resources from consumer goods to capital goods.
- What is the most likely long-run effect?
- A** the PPC will shift inwards
B consumption will be permanently lower than before
C the PPC will shift outwards over time
D there will be no effect on future production
- 6** The government of country Z introduces a policy which significantly reduces the price of public transport to commuters.
- What is the most likely effect on the market for petrol, assuming private cars and public transport are substitutes?
- A** demand for petrol shifts to the right
B demand for petrol shifts to the left
C supply of petrol shifts to the right
D no effect on the market for petrol

- 7 The price elasticity of supply for a particular good is 0.3 in the short run and 2.5 in the long run. What is the most likely reason for this difference?
- A Consumers respond more quickly to price changes than producers.
 - B Producers need time to adjust their productive capacity.
 - C Demand becomes more elastic over time.
 - D Government regulation prevents short-run supply changes.
- 8 A successful marketing campaign increases demand for a product. At the same time, a new production technique reduces unit costs. What is the certain effect on the market equilibrium?
- A price rises and quantity rises
 - B price falls and quantity falls
 - C quantity rises but the change in price is ambiguous
 - D price rises but the change in quantity is ambiguous
- 9 The price of tea rises from \$2.00 to \$2.40 per kilogram. In the same period, the quantity of coffee demanded increases from 100 to 120 units per week, with all other factors unchanged. What is the cross elasticity of demand between tea and coffee?
- A -1.0 B +1.0 C +0.2 D +5.0
- 10 A luxury good has an income elasticity of demand of +2.5. An economy enters a recession in which national income falls by 4%. What is the expected change in demand for this good, assuming all other factors remain constant?
- A a fall of 10%
 - B a fall of 2.5%
 - C a rise of 2.5%
 - D a rise of 10%
- 11 A specific indirect tax is imposed on a good with a price elasticity of demand of -0.2. Who bears most of the burden of the tax?
- A consumers bear most of the burden
 - B producers bear most of the burden
 - C consumers and producers share it equally
 - D the government bears the burden
- 12 Which statement best defines a merit good?
- A a good that is non-rival and non-excludable
 - B a good that is over-consumed because consumers lack information
 - C a good whose social benefits exceed the private benefits to the individual
 - D a good whose production generates significant negative externalities

- 13** Production of a chemical creates negative externalities.
Which statement is correct at the free-market equilibrium?
- A** marginal social cost is less than marginal private cost
 - B** marginal social cost is greater than marginal private cost
 - C** output is below the socially optimal level
 - D** there is no market failure
- 14** A government sets a minimum price for milk above the market equilibrium price to support farmers' incomes.
What is the most likely consequence?
- A** a shortage of milk and higher prices for consumers
 - B** a surplus of milk which may need to be bought or stored by the government
 - C** consumers buy more milk at a lower price than before
 - D** the market naturally returns to the previous equilibrium
- 15** In one year nominal GDP rises from \$800 billion to \$880 billion. Over the same period the GDP deflator rises from 100 to 110.
What happens to real GDP?
- A** it rises by 10%
 - B** it remains unchanged
 - C** it falls by 10%
 - D** it rises by 20%
- 16** A factory closes permanently because the firm has moved production to another country. 500 workers lose their jobs.
Which type of unemployment are these workers most likely to experience?
- A** cyclical **B** frictional **C** seasonal **D** structural
- 17** In the short run the Phillips curve shows a relationship between two variables.
Which relationship does the short-run Phillips curve show?
- A** a positive relationship between inflation and the exchange rate
 - B** an inverse relationship between unemployment and inflation
 - C** a positive relationship between unemployment and interest rates
 - D** a positive relationship between interest rates and inflation
- 18** The short-run aggregate supply curve shifts to the left. Which cause is most consistent with this?
- A** an increase in labour productivity
 - B** a fall in the world price of oil
 - C** an increase in average nominal wages
 - D** a cut in the rate of corporation tax
- 19** In a simple closed economy with no government the marginal propensity to consume is 0.8.
What is the value of the multiplier?
- A** 1.25 **B** 2.0 **C** 4.0 **D** 5.0

- 20** Which statement best distinguishes a government's fiscal deficit from its national debt?
- A** the two concepts are identical
 - B** the deficit is an annual flow; the debt is the accumulated total
 - C** the debt is an annual flow; the deficit is the accumulated total
 - D** neither affects the government's long-run finances
- 21** A central bank cuts its key interest rate in response to weak economic activity.
What is the most direct channel through which this is expected to raise aggregate demand?
- A** higher interest rates encourage more saving and less consumption
 - B** lower borrowing costs encourage more consumption and investment
 - C** higher interest rates appreciate the currency and reduce exports
 - D** lower interest rates cause immediate deflation
- 22** A government cuts the rate of corporation tax specifically for firms that invest in new capital equipment.
Which description of this policy is most accurate?
- A** a demand-side policy only
 - B** a supply-side policy only
 - C** both a demand-side and a supply-side policy
 - D** an example of monetary policy
- 23** According to the Laffer curve, tax rates in a country are currently far above the revenue-maximising rate and the government reduces them.
What is the expected effect on total tax revenue?
- A** it must fall because people pay less per dollar earned
 - B** it may rise as work and investment incentives improve and the tax base widens
 - C** it is unchanged
 - D** it becomes negative
- 24** A country operates a fixed exchange rate and faces a persistent balance of payments current account deficit.
Which outcome is most likely?
- A** the currency automatically depreciates to correct the deficit
 - B** the central bank must intervene by selling foreign currency reserves to buy its own currency
 - C** interest rates must fall to attract investment
 - D** the deficit has no effect on the economy
- 25** A country's export prices rise by 10% and import prices rise by 5% over a year.
What happens to the country's terms of trade?
- A** they deteriorate
 - B** they improve
 - C** they remain unchanged
 - D** they become negative

- 26** A tariff is placed on a range of imported consumer goods.

Which outcome is least likely to follow?

- A** domestic producers expand output
- B** consumer prices for the affected goods rise
- C** government tariff revenue increases
- D** total consumer welfare improves

- 27** The table shows the maximum output per worker per day in two countries.

country	wheat (tonnes)	rice (tonnes)
A	10	20
B	8	4

Which country has a comparative advantage in producing rice?

- A** country A
- B** country B
- C** neither country
- D** both countries equally

- 28** Interest rates in country X rise sharply relative to those in its trading partners, while other factors remain unchanged.

What is the most likely effect on the exchange rate of country X's currency?

- A** depreciation
- B** appreciation
- C** no change
- D** immediate hyperinflation of the currency

- 29** A country's current account shows the following figures in \$ billions:

item	\$bn
exports of goods	500
imports of goods	450
services credit	100
services debit	80
net primary income	–30
net secondary income	+10

What is the current account balance?

- A** a surplus of \$20 bn
- B** a surplus of \$50 bn
- C** a surplus of \$70 bn
- D** a surplus of \$110 bn

- 30** After a currency depreciation, the current account deficit of a country worsens for several months before it eventually improves.

Which concept best describes this pattern?

- A** the Phillips curve
- B** the Laffer curve
- C** the J-curve effect
- D** the Lorenz curve

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